

451 White Horse Pike, Atco NJ

Recommendation: acquire at \$1,100,000, all cash. Ceiling \$1,250,000.

A corner drive-thru on a Philadelphia–shore highway, bought at the value of the building alone — with 2.5 developable acres thrown in for nothing.

WE PAY

\$1.10M

\$250/SF · they ask \$1.6M

DAY-ONE YIELD

12.0%

\$132,000 NNN, in place

TARGET RETURN

18.2%

24.2% with a mortgage

WORST CASE

+5.4%

No modelled case loses money

Why it is cheap: the sitting cannabis tenant pays 36% over market rent. We refuse to pay for rent that leaves with them — so we bid what the building is worth let to a bank or a doctor, and take everything else as free option value.

They are selling us a rent that walks out the door. We are buying the building underneath it.

WHAT WE ARE BUYING

Property	4,400 SF freestanding building on 3.13 acres , corner of US Route 30 and Cooper Folly Road Former bank branch. Vault, 3-lane drive-thru, big parking field. 15,370 cars a day.
Tenant	Cannabis dispensary, one location , private Three years trading here. Two personal guarantees, no corporate covenant.
Lease	\$132,000/yr, absolute NNN , 6.5 years left Tenant pays taxes, insurance, roof, structure. Landlord does nothing. No rent increases.
Asking	\$1,600,000 — an 8.25% yield Priced as if \$30/SF were a market rent. It is not.
We offer	\$1,100,000 — a 12.0% yield \$250/SF, below replacement cost and below the county's own valuation.

THE WHOLE THESIS

The dispensary pays **\$30/SF**. Any ordinary tenant pays **\$22**. That 36% premium belongs to their licence, not to our building — and it disappears when they leave.

So we refuse to pay for it. We bid what the building is worth let to a bank or a doctor: **\$1.1M**.

WHAT THAT BUYS US FOR NOTHING

- 6.5 years of **above-market** cannabis rent
- The tenant's renewal option at \$154,000
- A 3-lane drive-thru on a corner
- **2.5 undeveloped acres** — the growth

Every outcome makes money. The good one makes 18%.

TEN-YEAR HOLD	WHAT HAS TO HAPPEN	ALL CASH	55% MORTGAGE
Floor	Tenant fails. Land never developed. Building re-let at the bottom of the market.	+5.4%	-3.7%
Base	Building re-let to a doctor or a credit union. We never touch the land.	+8.7%	+7.2%
Growth	Land monetised and building re-let on a proper lease with increases.	+18.2%	+24.2%
Or flip it	Just sell when the lease ends in 2033. Land ignored entirely.	+12.0%	+14.9%

WHY THE FLOOR HOLDS

Land and empty shell alone are worth **\$750,000** — 68% of our price. Only ~\$350,000 is genuinely at risk, against an income stream of \$132,000 a year.

CASH BACK FAST

Contracted rent to 2033 is **\$858,000** — **78%** of the purchase price returned before the lease even matures. No renewal, refinancing or resale required.

ONE HONEST CAVEAT

Debt cuts both ways. In the floor case a 55% mortgage turns +5.4% into **-3.7%**. If the floor must hold in every case, buy for cash or borrow 35–40%.

The building sits on 3.13 acres. It uses 3% of them.

IDLE LAND 2.48 ac Coverage is 3.2% of the site	NEW INCOME \$100k Per year, on land earning zero	VALUE CREATED \$931k Net of build-out cost	YIELD ON COST 12% → 21% On the same \$1.1M basis
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TWO INCOME STREAMS, NEITHER OF THEM PAID FOR

\$80,000 **Ground-lease a pad.** Fast food, coffee, car wash or a medical building. The tenant builds at their own cost; we let them the dirt.

\$20,000 **Licence space for EV charging.** Six to eight rapid chargers. The operator funds all the equipment and pays us a share of revenue.

THE SELLER'S OWN COMPS PROVE THIS

He sent us drive-thru pad deals on this exact kind of highway: **7 Brew** at **\$155,000 a year**, **Wendy's** at **\$157,659**, **Wawa** at **\$325,000**. Those are build-to-suit rents; a ground lease runs 40–55% of that. Our \$80,000 is the conservative read.

WHAT IT DOES TO THE DEAL

Buy at our offer	\$1,100,000
Monetise the spare land	\$2,508,000
Re-let building on a proper lease	\$2,492,000
Ordinary tenant → it becomes mortgageable	\$2,653,000
Less land works, fit-out, letting fees	(\$466,800)
Stabilised value	\$2,186,000

Roughly **double our entry price** over about ten years — about 7% compound growth in value, on top of the rent collected the whole way through.

What kills this deal, and why it does not.

THE REAL RISK: CAN THE TENANT PAY?

Under this lease the shop carries rent *plus* taxes, insurance and upkeep — **\$193,400 a year**, or \$43.95 per foot. It needs roughly **\$2.15M of annual sales** to carry that comfortably.

IF THE SHOP TURNS OVER	\$2.0M	\$2.5M	\$3.0M
Occupancy cost	9.7%	7.7%	6.4%
Verdict	Struggling	Tight	Fine

WHY IT DOES NOT SINK US

We priced the building as if the tenant were **already gone**. Our \$1.1M is what it is worth let to any ordinary tenant at \$22/SF. **We do not need this dispensary to survive.**

FOUR LAYERS UNDER THE PRICE

\$1.11M

Ordinary-tenant value. Our offer equals what the building fetches let to a bank or doctor. Zero exposure to the cannabis rent.

68%

Covered by dirt and shell. \$750,000 of hard asset value behind a \$1.1M price.

\$21.25

Break-even rent per foot versus a \$22.00 market — and the seller's own signed comp on this road confirms \$22.

2.00×

Debt cover. Rent is double the loan payment. Lenders want 1.25×

TWO THINGS TO CONFIRM BEFORE HARD MONEY

1. The tenant's actual sales figures — the single most valuable number in diligence.
2. Whether the lease demises all 3.13 acres. If it does, the land plan waits until 2033. *Our price does not depend on it either way.*

Approve \$1,100,000. Hold to \$1,250,000.

OFFER \$1,100,000 All cash · 30-day diligence · 15-day close	CEILING \$1,250,000 Still returns 9.3%. Also where debt stops helping	WALK AWAY \$1,300,000 Above the property's own value	THEIR ASK \$1,600,000 Returns 4.3%. Decline
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HOW WE WIN THE NEGOTIATION

- 1

Argue the rent, not the yield.

Do not debate whether 8.25% is right. Show that \$30/SF is not a market rent — and use *his own* signed comp on this road, which adjusts to \$21.52.
- 2

Point at the county.

Camden County's own equalized value is **\$1,271,000**. An independent third party already says this is not a \$1.6M building.
- 3

Sell certainty.

Almost nobody can finance a cannabis-let building. All cash in 45 days is worth real money against a buyer whose loan dies.

WHAT WE DO AFTER WE OWN IT

- Yr 0–1

Collect \$132,000. Confirm the lease boundary and the tenant's sales. Appeal the assessment.
- Yr 1–3

Entitle and let a pad; licence the EV charging. Spend ~\$150,000, add ~\$100,000 a year.
- Yr 5–7

Market 18 months early. Land a doctor or credit union on a 10–15 year lease **with increases**.
- Yr 8–10

Hold a passive, growing, mortgageable asset — or sell at ~\$2.19M.

IN ONE LINE

A corner drive-thru at **\$250 a foot**. Most of our money back before the lease ends, no modelled case that loses money, and 2.5 acres of free optionality that could double the asset.